

Employing in Argentina

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Labor Contract Law (as reformed by Law 27,802 in March 2026)
- **Monthly payroll** — salary payments in ARS, itemised payslips
- **Tax withholding** — progressive income tax (Ganancias) withheld and remitted monthly
- **SIPA, Obra Social & the new FAL fund** — the full social security and pre-funded severance contribution stack
- **Leave and termination management** — Aguinaldo, notice periods and severance guidance

Employment Conditions

Contracts & Probation

Law 27,802 (enacted 6 March 2026) is the most significant Argentine labour reform in years — it introduced a pre-funded severance system (Employment Assistance Fund, FAL), reduced social security contribution rates, created a "bank of hours" overtime system, cut sick leave pay to 75%, allowed flexible vacation splitting, repealed the Remote Work Law, and extended probation to 6 months.

Item	Detail	Legal Basis
Probation period	Extended to 6 months (from 3 months) under Law 27,802	Law 27,802 (2026 reform)
Employment Assistance Fund (FAL)	New pre-funded severance mechanism; employer contributes 1% (large companies) or 2.5% (SMEs) of payroll monthly	Law 27,802 (2026 reform)
Remote Work Law	Repealed by the 2026 reform	Law 27,802

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
National minimum wage (SMVM)	~ARS 322,000/month	January 2026 rate; reviewed quarterly under Resolution 9/2025; many sectors have higher CCT minimums
Employer social security contributions	24%–26.4% of gross salary	Reduced under the 2026 reform; covers SIPA pension, Asignaciones Familiares, Fondo Nacional de Empleo, INSSJP
Obra Social (health) contribution	6% of gross salary	Employer-funded; provides health coverage via union-managed private plans
FAL fund contribution (new for 2026)	1% (large companies) or 2.5% (SMEs) of payroll	Pre-funded severance mechanism introduced by Law 27,802

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	14–35 days/year (scales with tenure)	Employer	Labor Contract Law minimum; 2026 reform allows more flexible splitting
Aguinaldo (13th month, SAC)	2 installments (end of June, mid-December), each 50% of highest monthly salary in the preceding 6 months	Employer	Attracts standard social security contributions
Sick Leave	Reduced to 75% of pay under the 2026 reform (previously 100%)	Employer	Law 27,802 change

★ HERO TIP

Law 27,802 fundamentally reshapes Argentine employment cost and risk from March 2026 onward — the new pre-funded FAL severance mechanism is designed to reduce (though not eliminate) the traditional lump-sum severance shock on termination, while sick pay, overtime and probation rules have all shifted materially. Treat any pre-2026 Argentina compliance playbook as outdated and confirm current rules with your HeroForce EOR.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer social security (illustrative, 25%)	\$750.00	25.00%
Obra Social (6%)	\$180.00	6.00%
FAL fund (illustrative, 1%, large company)	\$30.00	1.00%
Aguinaldo accrual (8.33%)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,810.00	~160.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Total Argentine employer cost typically runs around 50% above base salary once all contributions and Aguinaldo are included. Employee deductions (withheld separately) include pension/health contributions (~17%) and progressive Ganancias income tax (only above a high exemption threshold — most employees below ~ARS 1.9M/month net are exempt).

Termination & Separation

Argentina does not follow at-will employment — termination without just cause requires notice and severance (indemnización) based on years of service, calculated on the best monthly compensation in the last year (capped by a collective-agreement-linked ceiling). The new FAL fund, effective from the 2026 reform, is designed to pre-fund part of this liability over time rather than requiring a full lump-sum payment at termination.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~February	Carnival (Monday-Tuesday)	National
24 March	Day of Remembrance for Truth and Justice	National
2 April	Malvinas Day	National
3 April	Good Friday	National
1 May	Labour Day	National
25 May	May Revolution Day	National
20 June	Flag Day	National
9 July	Independence Day	National
17 August	San Martín Day	National
12 October	Day of Respect for Cultural Diversity	National
20 November	National Sovereignty Day	National
8 December	Immaculate Conception	National
25 December	Christmas Day	National

The government has also designated 3 tourism "bridge days" for 2026 (23 March, 10 July, 7 December) — commonly observed but not universally mandatory.

Ready to hire in Argentina?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Argentina employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).